LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Receivable Purchase Structures?

Developed by www.loanbazaaronline.com

Table of Contents

Module Number	Technical Course Subject / Chapter Theme	Page no.
Module 1	Theoretical Foundations and Product Philosophy	3
Module 2	Structural Taxonomy and Comparative Analysis	4
Module 3	The End-to-End Operational Lifecycle	5
Module 4	Transactional Credit Underwriting & Risk Metrics	6
Module 5	Watertight Legal Security and Charge Creation	7
Module 6	Sectoral Sizing and Market Alignment	8
Module 7	Commercial Pricing Mechanics and Financial Models	9
Module 8	Regulatory Compliance & Technical Defaults	10
Module 9	Comprehensive Real-World Case Study (Mumbai)	11
Module 10	10-Question Certification Examination	13

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 1: Theoretical Foundations and Product Philosophy

Receivable Purchase Structures represent the pinnacle of liquid, transaction-backed working capital finance in modern banking ecosystems. At its core, a Receivable Purchase involves a transaction where a selling business transfers ownership of its outstanding, short-term, unpaid trade invoices (representing book debts) to a financial institution (the bank or factor) in exchange for an immediate upfront cash advance. Unlike traditional balance sheet-backed term loans or general Cash Credit (CC) limits that rely heavily on physical mortgage security, receivable purchase structures are fundamentally flow-based. They convert passive, frozen accounting assets on the balance sheet directly into active current account cash within 24 to 48 hours of invoice generation.

True Sale vs. Pledge: The Legal Distinction

A critical conceptual boundary that every rookie must understand is the difference between a True Sale and a Pledge of receivables:
1. True Sale (Receivable Purchase): In this arrangement, the complete legal and beneficial ownership of the receivables is transferred (assigned) from the seller to the financier. The asset is removed (derecognized) from the seller's balance sheet under accounting guidelines (Ind AS 109). If a default occurs, the bank recovers directly from the underlying debtor, as the bank owns the book debt.
2. Pledge (Hypothecation of Book Debts): In a pledge, the exporter or domestic seller retains legal ownership of the receivables. The bank merely registers a financial charge (lien) over the book debts as secondary collateral. The receivables remain active on the borrower's balance sheet, and collections are routed through a cash credit account.

> **★ THE POST-2018 TRADE FINANCE REVOLUTION ★**
> *The regulatory landmark that redefined this sector is the RBI's March 2018 ban on Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) for trade credits, following systemic frauds that exploited isolated SWIFT MT799 terminals. This ban forced banks and corporate borrowers to shift away from opaque interbank guarantees and transition directly into fully transparent, transaction-backed, and audit-integrated Usance LCs, bilateral Factoring, and invoice-level discounting platforms.*

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 2: Structural Taxonomy and Comparative Analysis

Receivable purchase structures can be deployed across multiple customized frameworks depending on geographical requirements, credit ratings, and operational scope. To help trainees visualize this taxonomy, the table below compares the four core commercial credit modalities in the Indian financial sector.

Comparative Parameter	Receivable Purchase (ABRF/Factoring)	Traditional Cash Credit (CC)	Unsecured Business Loan
Primary Underwriting Pivot	Transaction flow and Anchor buyer's creditworthiness	Historical financial parameters and fixed collateral	Promoter credit score and operational cash velocity
Average Asset-Side Collateral	Zero physical land or machinery mortgages	High (minimum 100% to 150% physical asset coverage)	Zero physical collateral required (higher pricing spread)
Balance Sheet Presentation	Off-balance sheet derecognition (Ind AS 109)	On-balance sheet current liability	On-balance sheet debt exposure
Pricing and Benchmark Base	SOFR-linked or EBLR-linked interest + thin spread	MCLR-linked domestic interest (higher spreads)	Fixed high-rate monthly reducing balance (up to 18%-24%)
Collections Control Route	Designated escrow account with automated sweep	General company current/cash credit routing	Post-dated cheque sweeps or NACH direct debits
CERSAI / Registrar Filing	Mandatory filing within 10 days of charge creation	Filing of charge over entire book debts and assets	No security filing needed; general covenants only

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 3: The End-to-End Operational Lifecycle

A successful receivable purchase transaction functions as a highly synchronized sequence crossing commercial, logistics, accounting, and banking systems. The transaction lifecycle is split into 5 distinct phases:

■ **Phase 1: Contract Executions & Escrow Account Setup:** The supplier and AAA Corporate Anchor sign a trade contract. A tripartite escrow account is opened with the financier (Bank/NBFC), and a Non-Dispute Covenant is executed, wherein the Anchor buyer waives set-off rights once the invoice is formally accepted on the portal.

■ **Phase 2: Commercial Dispatch & E-Invoice Registration:** The supplier manufactures and dispatches the goods, generating an e-way bill on the national portal. Simultaneously, an electronic invoice containing a unique Invoice Reference Number (IRN) is generated via the GST Invoice Registration Portal (IRP), ensuring transaction authenticity.

■ **Phase 3: Digital Portal Verification & Anchor Consent:** The e-invoice details are automatically pulled via APIs into the financier's digital lending platform. The AAA Anchor buyer logs onto the platform, reviews the shipping documents, and digitally confirms receipt of goods and acceptance of invoice payment liability on the exact usance maturity date.

■ **Phase 4: Automated Prepayment & Margin Application:** The financier validates the Anchor's digital acceptance, deducts a safety retention margin (typically 10% to 15%), and advances the remaining 85% to 90% directly to the supplier's domestic current account within 24 hours. The discount interest and processing fees are calculated on a reducing balance basis.

■ **Phase 5: Escrow Collection Sweep & Debt Retirement:** On the usance maturity date (e.g., Day 90), the AAA Anchor remits the 100% gross invoice amount directly into the designated Escrow Account. The bank automatically sweeps the advanced principal and outstanding interest to retire the loan, and releases the 10% to 15% safety retention margin back to the supplier's account.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 4: Transactional Credit Underwriting & Risk Metrics

Modern transaction-backed underwriting represents a structural departure from traditional banking methods. Instead of basing the credit limit solely on the supplier's balance sheet strength, underwriting focuses on the cash flows of the corporate buyer. Key risk metrics evaluated during credit appraisal include:

- **Promoter Personal CIBIL Score:** The promoter of the selling enterprise must maintain a personal credit history with a CIBIL score of 700 or higher to demonstrate basic financial discipline.
- **CIBIL MSME Rank (CMR):** The credit team reviews the selling firm's CMR, seeking a score between CMR-1 and CMR-4. Scores worse than CMR-5 require additional credit mitigants.
- **Invoice Dilution Rate:** The credit risk team audits the past 12 to 24 months of trade histories between the supplier and the buyer. The average dilution rate (due to product returns, quality disputes, or credit notes) must be below 2.50%. The bank applies a safety multiplier to determine the exact retention haircut.
- **Account Aggregator Cash Flows:** The bank utilizes the RBI's Account Aggregator network to pull real-time bank statements from the supplier's operating accounts, verifying that they are free of bounced cheques, unnotified overdraft excesses, or fund diversions.
- **Short-Term Debt Service Coverage Ratio (DSCR):** The appraisal must demonstrate a projected short-term DSCR exceeding 1.25x under the Tandon Second Method of Lending, ensuring that current assets cleanly cover current liabilities.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 5: Watertight Legal Security and Charge Creation

The legal foundation of a receivable purchase structure is built on specific statutory assignment provisions in the Indian legal system. To eliminate risk and prevent dual-pledging, underwriters must enforce three pillars of legal security:

1. Absolute Assignment of Actionable Claims:

Under Section 130 of the Transfer of Property Act, 1882, trade receivables are classified as 'actionable claims'. The complete transfer of legal rights can only be executed via a written deed of assignment. Once signed, the financier steps into the shoes of the exporter/seller and holds absolute title to the book debts.

2. Notice of Assignment (NoA) Stamp:

Every invoice assigned to the financier must bear a bold Notice of Assignment stamp. This stamp informs the corporate buyer that the underlying debt has been assigned to the bank and that payment to any party other than the designated bank escrow account does not constitute a valid legal discharge of the debt.

3. CERSAI Charge Registration Within 10 Days:

Under the Factoring Regulation Act, 2011 (with its 2021 Amendments), all factoring and receivable purchase transactions must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within 10 days of charge creation. This electronic registry uses direct GSTN API validation, preventing fraudulent double-financing of the same invoice across multiple banks.

4. Tata Capital's Master Terms and Conditions:

The loan agreement incorporates Tata Capital's master terms, including absolute book debt hypothecation, Section 281(1)(ii) Income Tax clearance certificates, personal and corporate guarantees from promoters, and clear definitions of Events of Default.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 6: Sectoral Sizing, Target Industries and Market Ecosystems

Receivable purchase structures are heavily deployed across fast-growing industrial sectors in India where credit cycles are long but underlying corporate counterparties are highly rated. Key target sectors include:

▲ **Automotive Components & Tooling:** Tier-2 and Tier-3 tooling suppliers sell parts to Tier-1 suppliers and major auto manufacturers (OEMs). The manufacturing cycle is capital-intensive, requiring pre-shipment packing credits followed by post-shipment receivable discounting once parts are accepted.

▲ **Consumer Electronics & Durables:** Under India's Vision 2030 PLI (Production Linked Incentive) frameworks, local manufacturers import APIs and components and sell finished products to global brands. Receivable financing provides the required liquidity bridge.

▲ **FMCG and Packaged Foods:** Fast-Moving Consumer Goods manufacturers sell to national distributors on 30-day to 90-day credit usance terms, utilizing anchor-led dealer and distributor finance structures.

According to CIBIL MSME credit research, Retail and Wholesale Traders represent the largest segment of active working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the critical importance of transaction-backed trade finance products. Institutions like the State Bank of India (SBI) lead the market with digital platforms, including the electronic Dealer Financing Scheme (e-DFS) with over ₹49,261 Crores in active exposure, and the electronic Vendor Financing Scheme (e-VFS) at ₹28,092 Crores.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 7: Commercial Pricing Mechanics and Financial Models

Understanding trade finance pricing is critical for treasury optimization. The total cost of a receivable purchase structure is composed of several key elements:

- **Daily Reducing Balance Interest:**
Unlike flat-rate loans, interest is calculated on a daily reducing balance basis, based on the actual outstanding advanced principal over the exact number of usance days (usually 30 to 120 days).

- **Interest Rate Benchmarks:**
The nominal interest rate is linked to the bank's External Benchmark Lending Rate (EBLR), repo rate, or MCLR for domestic rupee lines. The RBI's All-In-Cost (AIC) guidelines cap spreads to preserve MSME viability.

- **GST Tax Guidelines:**
Under Indian GST guidelines, core loan interest and discounting components are completely exempt from GST. However, upfront processing fees, transaction commissions, and storage fees attract a standard 18% GST (which qualifies for corporate Input Tax Credit).

- **Section 36(1)(iii) Interest Tax Shield:**
Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for business purposes is fully tax-deductible as revenue expenditure. This reduces the effective after-tax cost of borrowing by the company's marginal tax rate (e.g., 25.17%).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 8: Regulatory Compliance & Technical Defaults

Compliance with Reserve Bank of India (RBI) guidelines is mandatory for both banks and borrowers. Underwriters must monitor several operational compliance standards to prevent defaults and statutory violations:

■ 1. RBI IRACP Guidelines and Overdue Classification:

Under the Income Recognition, Asset Classification and Provisioning (IRACP) norms, any account where interest or principal remains overdue for more than 90 days must be classified as a Non-Performing Asset (NPA). Prior to NPA classification, accounts are classified as Special Mention Accounts (SMA): SMA-0 (overdue up to 30 days), SMA-1 (overdue 31 to 60 days), and SMA-2 (overdue 61 to 90 days).

■ 2. The 'Out of Order' Condition for Overdrafts & CC:

A Cash Credit (CC) or Overdraft (OD) account is classified as 'Out of Order' and flagged as an NPA if: (a) the outstanding balance remains continuously in excess of the sanctioned limit or Drawing Power for 90 days, or (b) there are no credits in the account for 90 days, or (c) the credits are insufficient to cover the interest debited during the prior 90-day window.

■ 3. 180-Day Technical NPA Triggers:

An account is automatically classified as an NPA if the bank fails to formally review or renew the credit limit within 180 days of its expiry date, or if the borrower fails to submit their monthly stock and debtor statements for more than 180 days (6 months).

■ 4. RBI Current Account Opening Guidelines:

To prevent credit diversion, the RBI enforces strict limits on current account opening based on bank system exposure thresholds. For borrowers with exposure over ₹50 Crores, a dedicated escrow mechanism is mandatory, and all operating collections must be swept through designated escrow accounts.

■ 5. RBI Digital Lending LSP Rules & Default Loss Guarantees (DLG):

Under the RBI's Digital Lending guidelines, any Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangement with a Lending Service Provider (LSP) or fintech partner is strictly capped at 5.0% of the aggregate portfolio exposure to protect systemic solvency.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 9: Comprehensive Real-World Case Study

To ground these theoretical and regulatory principles in practical reality, let us analyze a detailed, step-by-step mathematical case study of a Pune-based engineering firm utilizing a Structured Receivable Purchase line in Indian Rupees (₹).

The Scenario: Pune Auto Component Parts Pvt. Ltd. (PACPL)

Pune Auto Component Parts Pvt. Ltd. (PACPL) is a Tier-1 manufacturing supplier with a corporate tax rate of 25.17%. PACPL dispatches a high-precision shipment of engine gears to its AAA-rated Anchor buyer, Mumbai Motors Limited (MML). MML requires a 90-day usance credit period. To fund raw steel procurement, PACPL decides to discount the usance invoice on its revolving receivable purchase line with the State Bank of India (SBI).

Transaction Parameter	Mathematical Value / Formula	Impact on Cash Flow (INR)
Gross Usance Invoice Value	FOB Value + GST (Formally Accepted on Digital Portal)	₹1,00,00,000 (₹1 Crore)
Bank Prepayment Rate / Margin	85.00% Advance Rate | 15.00% Retention Margin Haircut	₹85,00,000 Advanced / ₹15,00,000 Margined
90-Day Nominal Interest Rate	9.50% p.a. (reducing balance based on exact usance tenure)	₹1,99,041.10 (calculated: ₹85L * 9.50% * 90 / 365)
Bank Processing Fee	0.20% of the advanced principal	₹17,000.00 (calculated: ₹85,00,000 * 0.20%)
GST on Processing Fee	18.00% standard GST applied to bank services	₹3,060.00 (calculated: ₹17,000 * 18.00%)
Net Upfront Payout on Day 1	Advanced Principal - Interest - Fee - GST	₹82,80,898.90 disbursed to PACPL's Current Account
Maturity Payment (Day 90)	MML remits 100% gross invoice value to SBI Escrow	₹1,00,00,000 swept by Bank
Maturity Release of Margin	Unconditional release of safety retention margin to PACPL	₹15,00,000 credited to PACPL's account
Corporate Tax Shield Benefit	Interest (₹1,99,041.10) * Corporate Tax Rate (25.17%)	₹50,098.64 saved (Fully deductible as business expense)
Net Effective Cost of Financing	Upfront Interest + Fee + GST - Tax Shield	₹1,69,002.46 total post-tax financing cost
Effective Annualized Interest Rate	Net Effective Financing Cost / Advanced Principal	7.69% p.a. (post-tax effective borrowing rate)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CFO Strategic Analysis: By choosing to discount their invoice on the SBI structured receivable purchase line, PACPL completely bypassed the need to freeze their domestic cash flow or mortgage physical land assets. Furthermore, by converting their invoice into cash on Day 1, they secured a 2.0% cash discount from their raw steel vendors, generating ₹1,70,000 in immediate cost savings. This raw material cash savings completely offset the entire pre-tax financing cost of the transaction, proving that a structured receivable purchase structure provides immediate, risk-free treasury arbitrage!

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10: 10-Question Certification Examination

This certification exam is designed to test trainees, risk officers, and treasury professionals on their conceptual, mathematical, legal, and regulatory knowledge of Receivable Purchase structures in India. Every question is scenario-based, reflecting real-world commercial banking scenarios.

Module 10.1: Question 1 (CERSAI Registration Timelines)

An automotive tier-1 supplier has executed a structured receivable purchase transaction, assigning its trade invoices of ₹1.5 Crores to an NBFC. Under the Factoring Regulation Act, 2011 (with the 2021 Amendments), within what maximum timeframe must the NBFC formally register the assignment charge on the CERSAI portal to establish senior legal lien and prevent duplicate pledging?

A) Within 30 days from the date of the first shipment.

B) Within 10 days from the date of charge creation / invoice assignment.

C) Within 15 working days from invoice usance maturity.

D) CERSAI registration is entirely optional and only applies to physical mortgages.

★ Correct Option: B.

★ Rationale & Analysis:
Under the Factoring Regulation Act, 2011 (and the subsequent 2021 Amendments), all factoring and receivable purchase transactions must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict window of 10 days from the date of charge creation/assignment. Registration uses automated GSTN API validation to prevent fraudulent double-pledging of the same invoice across multiple financial institutions.

Module 10.2: Question 2 (FEMA Export Proceeds Realization Mandate)

An exporter based in Chennai discounts a usance export bill under a structured post-shipment receivable purchase line. Under standard Foreign Exchange Management Act (FEMA) guidelines, what is the statutory deadline within which the export proceeds must be fully realized and repatriated back to India from the date of shipment?

A) Within 90 days from the invoice date.

B) Within 180 days from customs clearance.

C) Within 9 months from the date of shipment (extendable under RBITrade Relief directions).

D) Within 2 years from the date of bill discounting.

★ Correct Option: C.

★ Rationale & Analysis:
Under standard FEMA guidelines, exporters must realize and repatriate 100% of the export proceeds back to India within 9 months from the date of shipment. If the usance bill remains unpaid or un-repatriated past 9 months, banks must escalate reporting. Note that under special RBI Trade Relief Directions, this timeline can be extended up to 15 months under specific macroeconomic disruptions, but the standard FEMA mandate is 9 months.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10.3: Question 3 (RBI Current Account Guidelines)

A manufacturing corporate borrower has an active credit exposure of ₹65 Crores in the Indian banking system. The corporate wishes to open a new current account with a non-lending private bank to manage collections of its receivable purchase structures. How do the RBI Current Account guidelines govern this transaction?

A) The corporate is free to open current accounts with any commercial bank in India.

B) For borrowers with bank system exposure exceeding ₹50 Crores, current accounts can only be opened with escrow-administering lending banks, and all collections must be swept directly through the escrow account to prevent credit diversion.

C) Current accounts are banned for any corporate with total banking system exposure over ₹10 Crores.

D) The borrower must obtain written permission from the Ministry of Finance before opening any account.

★ Correct Option: B.

★ Rationale & Analysis:
Under the RBI's current account opening guidelines, for borrowers with aggregate banking system exposure exceeding ₹50 Crores, the opening of current accounts with non-lending banks is strictly prohibited. Collections must be routed through an escrow mechanism managed by a lending bank, with automated sweeps to retire outstanding trade credits, completely eliminating the risk of fund diversion.

Module 10.4: Question 4 (Income Tax Shield Math)

A corporate borrower dispatches a cargo consignment and discounts a usance invoice. The bank charges a nominal interest expense of ₹3,00,000 on the advanced principal. If the corporate is taxed at a marginal rate of 25.17%, what is the net after-tax cash outflow of this interest expense under Section 36(1)(iii) of the Income Tax Act, 1961?

A) ₹3,00,00,000

B) ₹2,24,490.00 (calculated as ₹3,00,000 interest minus a ₹75,510 tax shield)

C) ₹3,75,510.00

D) Interest expenses on trade credits do not qualify for tax deductions under Indian tax laws.

★ Correct Option: B.

★ Rationale & Analysis:
Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for business operations is fully tax-deductible as revenue expenditure. Therefore, the net cost is calculated as: Nominal Interest * (1 - Tax Rate). Here, ₹3,00,000 * (1 - 0.2517) = ₹2,24,490.00, providing an effective tax shield savings of ₹75,510.

Module 10.5: Question 5 (UCP 600 Document Audit Timelines)

During a structured export receivable purchase transaction backed by an LC, the negotiating bank submits a set of shipping documents to the Issuing Bank under UCP 600 guidelines. What is the maximum number of banking days within which the Issuing Bank must audit the documents and advise of compliance or discrepancies?

A) Within 3 banking days.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

B) Within 5 banking days following the day of presentation (after which the bank is legally precluded from claiming discrepancies).

C) Within 10 working days from the date of shipment.

D) There is no statutory limit under UCP 600 rules.

★ Correct Option: B.

★ Rationale & Analysis:
Under Article 16 of the ICC Uniform Customs and Practice for Documentary Credits (UCP 600), the Issuing Bank or Confirming Bank has a maximum of five banking days following the day of presentation to audit documents. If the bank fails to provide a notice of discrepancy within this 5-banking-day window, it is legally precluded from claiming any discrepancies and must pay the full bill value.

Module 10.6: Question 6 (CIBIL MSME Rank - CMR Underwriting)

During credit risk appraisal of a newly onboarded supplier on an anchor-led receivable purchase line, the underwriting team pulls the supplier's commercial bureau history. What is the standard benchmark range for the CIBIL MSME Rank (CMR) to qualify for a structured bank finance line without additional collateral?

A) CMR-1 to CMR-4 (representing very low to low default risk).

B) CMR-7 to CMR-10 (representing speculative and high risk).

C) CIBIL MSME Ranks are only evaluated for individual retail borrowers.

D) Only companies listed on the NSE qualify for receivable purchase discounting.

★ Correct Option: A.

★ Rationale & Analysis:
CIBIL MSME Rank (CMR) is a specialized commercial credit scoring system ranging from CMR-1 (lowest risk) to CMR-10 (highest risk). Banks and underwriters target borrowers with ranks between CMR-1 and CMR-4 for standard commercial lines. Ranks worse than CMR-5 require additional credit mitigants, such as cash margins or personal guarantees.

Module 10.7: Question 7 (Transfer of Property Act, 1882 Section 130)

Which specific section of the Transfer of Property Act, 1882 governs the legal assignment of trade receivables (book debts) as 'actionable claims' in India?

A) Section 138 (dealing with cheque bounces).

B) Section 130 (requiring a written deed of assignment to legally transfer rights).

C) Section 172 (pledge bailment of goods).

D) Section 281 (income tax clearings).

★ Correct Option: B.

★ Rationale & Analysis:
Under Section 130 of the Transfer of Property Act, 1882, the assignment of an 'actionable claim' (which includes trade receivables and book debts) can only be executed via a written deed of assignment signed by the assignor. Once executed, the complete legal and beneficial rights of the debt are transferred to the assignee (the financier).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10.8: Question 8 (RBI Digital Lending LSP Cap)

Under the RBI's Digital Lending guidelines, what is the maximum permissible cap on Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements between a bank and a Lending Service Provider (LSP) / fintech partner?

A) Capped at a maximum of 2.0% of the aggregate portfolio exposure.

B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.

C) Capped at a maximum of 10.0% of the aggregate portfolio balance.

D) Default loss guarantee arrangements are completely prohibited in digital trade finance.

★ Correct Option: B.

★ Rationale & Analysis:
Under the RBI's Digital Lending Directions and Customer Protection guidelines, to prevent systemic under-the-radar credit risk transfer and preserve banking stability, any Default Loss Guarantee (DLG) arrangement with a Lending Service Provider (LSP) or fintech partner is strictly capped at a maximum of 5.0% of the aggregate portfolio exposure.

Module 10.9: Question 9 (The 'Out of Order' NPA Definition)

Under the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) guidelines, which of the following conditions will automatically trigger an NPA 'Out of Order' status for a revolving Cash Credit (CC) or Overdraft line?

A) If the account is not formally renewed within 30 days of its expiry date.

B) If the outstanding balance remains continuously in excess of the sanctioned limit or Drawing Power for 90 days.

C) If the promoter's personal credit score falls below 600.

D) If the corporate borrower fails to submit GSTR-3B filings for two consecutive quarters.

★ Correct Option: B.

★ Rationale & Analysis:
Under RBI IRACP norms, a revolving credit line (CC/OD) is flagged as 'Out of Order' and classified as an NPA if the outstanding balance remains continuously in excess of the sanctioned limit or Drawing Power for a period of 90 days, or if there are no credits for 90 days, or if credits are insufficient to cover interest debited in the prior 90-day window.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10.10: Question 10 (UCP 600 Article 2 Negotiation Definition)

Under Article 2 of the ICC Uniform Customs and Practice for Documentary Credits (UCP 600), what does the legal term 'Negotiation' represent in a structured receivable purchase transaction?

A) The process of bargaining over the interest rate spread with the corporate seller.

B) The purchase by the nominated bank of drafts and/or documents under a complying presentation, by advancing or agreeing to advance funds to the beneficiary on or before the banking day on which reimbursement is due.

C) The automatic cancellation of an invoice on the GSTN portal.

D) The registration of a pledge charge with the Registrar of Companies (RoC).

★ Correct Option: B.

★ Rationale & Analysis:
Under UCP 600 Article 2, 'Negotiation' is formally defined as the purchase by the nominated bank of drafts (drawn on a bank other than the nominated bank) and/or documents under a complying presentation, by advancing or agreeing to advance funds to the beneficiary (the exporter) on or before the banking day on which reimbursement is due. This forms the legal bedrock of Foreign Bill Negotiation (FBN).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.